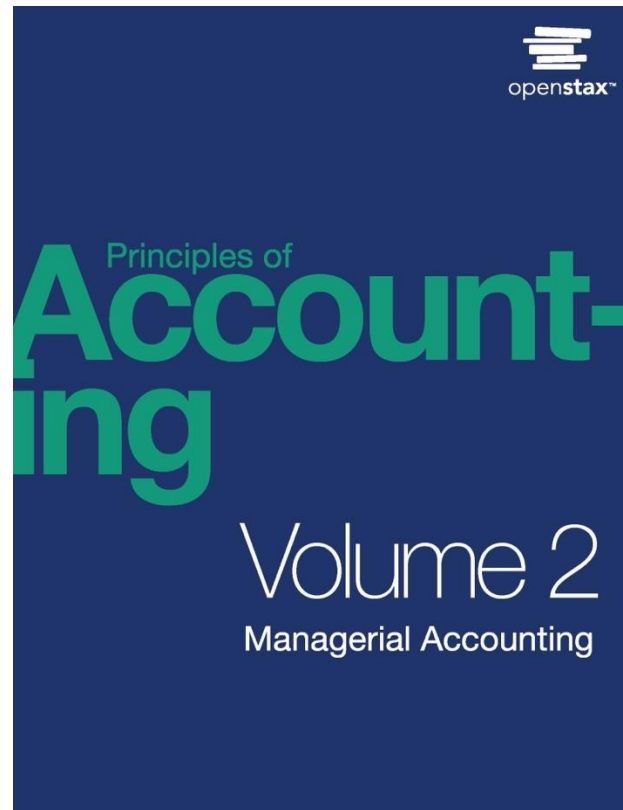


Principles of Accounting, Volume 2: Managerial Accounting

Chapter 7 BUDGETING

PowerPoint Image Slideshow



Chapter Outline

- 7.1 Describe How and Why Managers Use Budgets
- 7.2 Prepare Operating Budgets
- 7.3 Prepare Financial Budgets
- 7.4 Prepare Flexible Budgets
- 7.5 Explain How Budgets Are Used to Evaluate Goals

Module 7.1 Describe How and Why Managers Use Budgets



- An important step in the initiation of the company's strategic plan is the creation of a budget. A good budgeting system will help a company reach its strategic goals by allowing management to plan and control major categories of activity, such as revenue, expenses, and financing options.
- There are different ways to formulate budgets:
 - Top-down versus bottom-up
 - Traditional versus zero-based
 - Flexible
 - Rolling

Figure 7.1

Personal budget example for study abroad:



STUDY ABROAD Budget Plan Semester			
Income		Expenses	
Job	\$ 3,000	Tuition	\$18,000
School Loans & Scholarship	30,000	Room & Board	11,000
Savings to be Used	<u>3,000</u>	Books	1,000
Total Cash In	<u>\$36,000</u>	Sightseeing	2,000
		Travel	<u>3,000</u>
		Total Expenses	<u>\$35,000</u>
		Emergency Cash	\$ 1,000



Figure 7.2

Top-down versus bottom-up approach to budgeting

- The top-down approach to budgeting starts with upper-level management.
- The bottom-up approach starts with input from lower-level management.

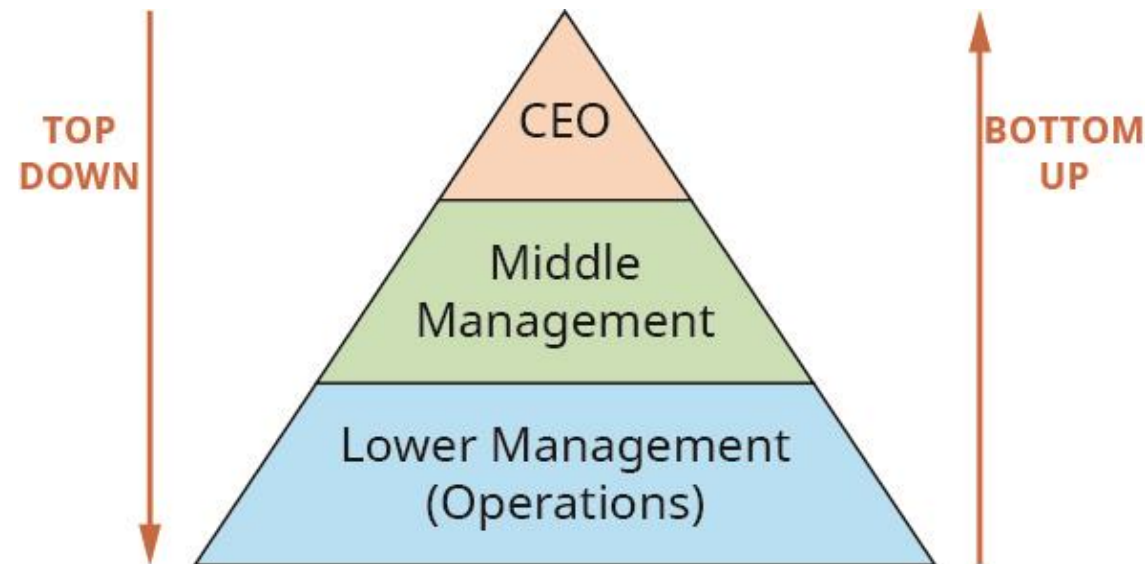


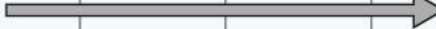
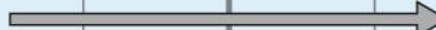
Figure 7.3

- Under a traditional budgeting approach, last year's budget is the starting point for creating the current budget.
- Under a zero-based budgeting approach, all budget numbers are derived newly each year or budget cycle.



Figure 7.5

- In a quarterly operating budget, the budget always projects forward for four months, or one quarter.

	A	B	C	D	E	F	G	H	I
1	QUARTERLY ROLLING BUDGET								
2		Year 1				Year 2			
3		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
4	INITIAL ANNUAL BUDGET								
5	ROLLING BUDGET Year 1/Q2								
6	ROLLING BUDGET Year 1/Q3								
7	ROLLING BUDGET Year 1/Q4								
8	ROLLING BUDGET Year 2/Q1								

Rolling Budget. In a quarterly operating budget, the budget always projects forward for four months, or one quarter.
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Figure 7.6: Master Budget

Operating budget: spans several areas that help plan and manage day-to-day business

Financial budget: depicts the expectations for cash inflows and outflows

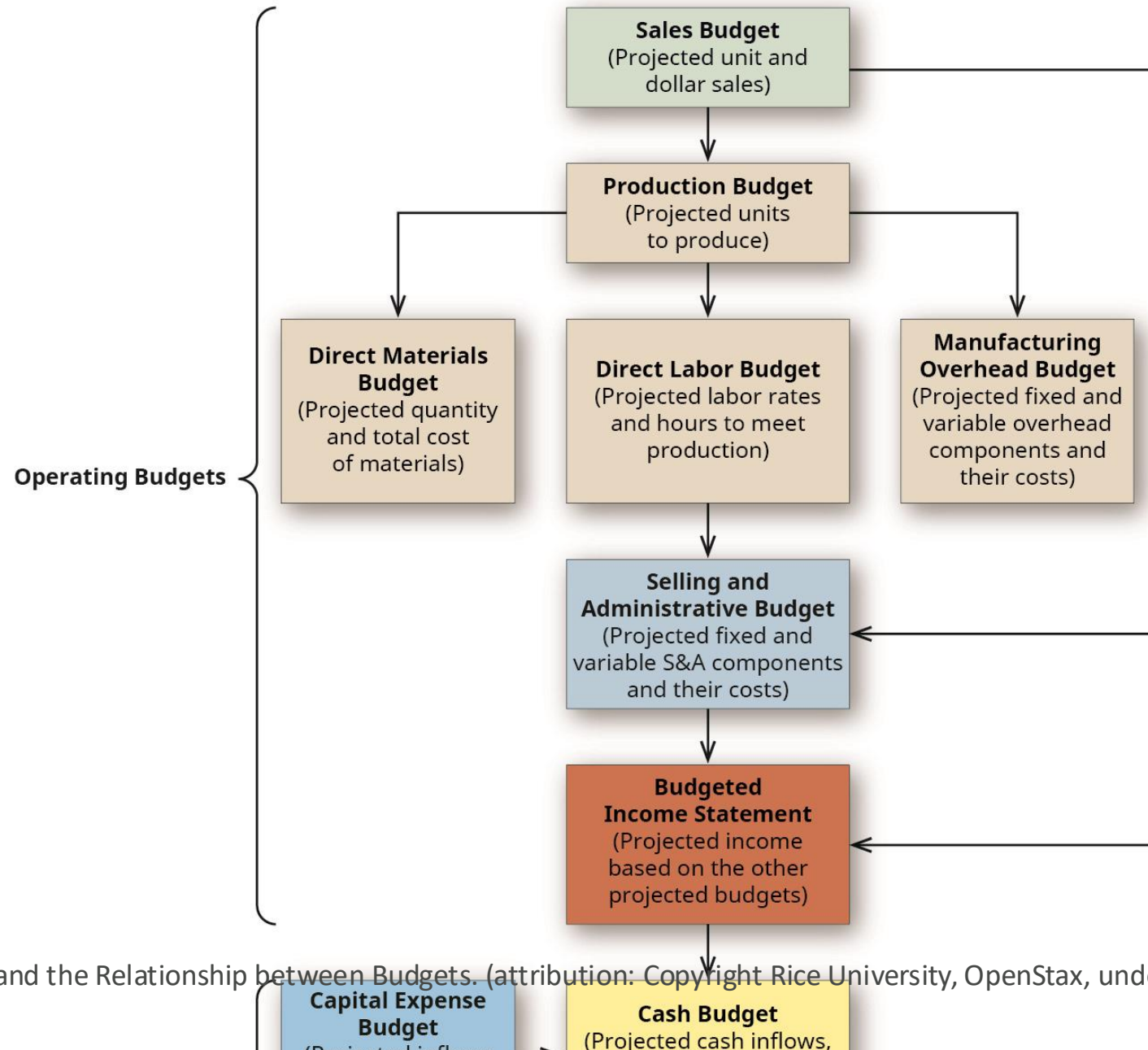


Figure 7.6: Master Budget

Operating budget: spans several areas that help plan and manage day-to-day business

Financial budget: depicts the expectations for cash inflows and outflows

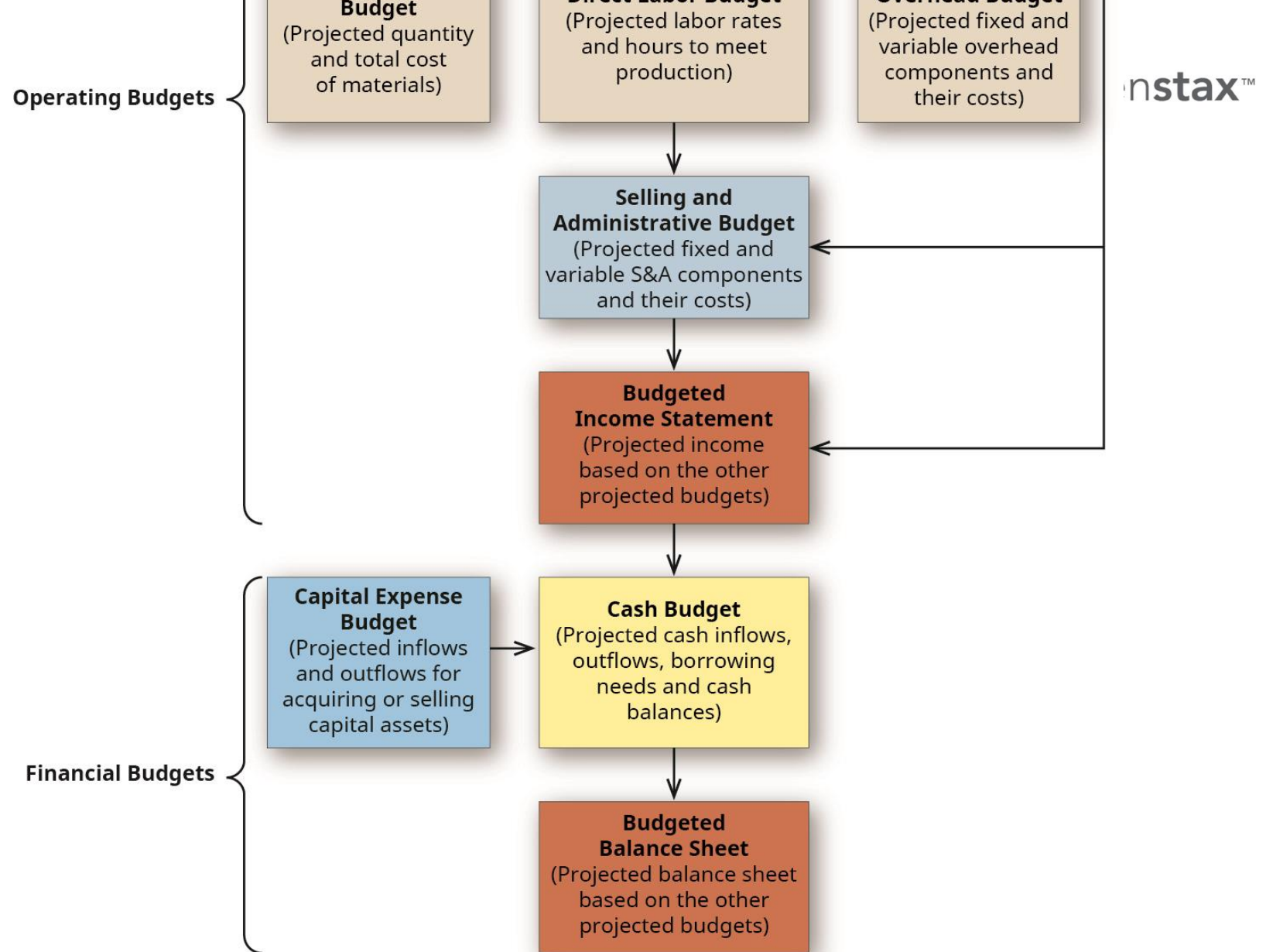
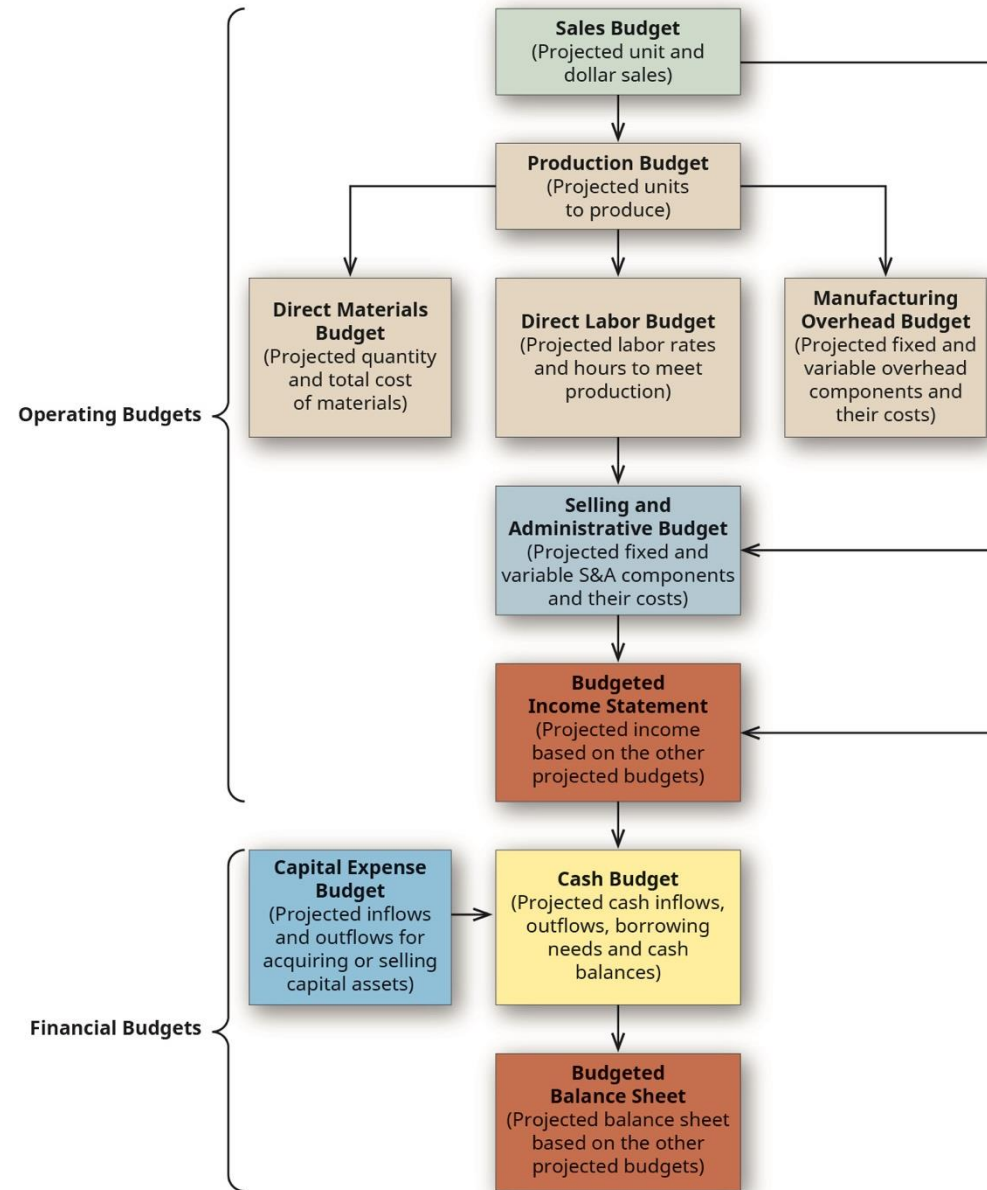


Figure 7.6: Master Budget

Operating budget: spans several areas that help plan and manage day-to-day business

Financial budget: depicts the expectations for cash inflows and outflows



Though there seem to be many budgets, they all fit together like a puzzle to create an overall picture of how a company expects the upcoming business year to look.

- Individual operating budgets
 - 1) Sales budget
 - 2) Production budget
 - 3) Direct materials budget
 - 4) Direct labor budget
 - 5) Manufacturing overhead budget
 - 6) Sales and administrative expenses budget
 - 7) Budgeted income statement

Figure 7.7 Sales Budget

- Expected sales in units and the sales price for the budget period

BIG BAD BIKES Sales Budget For the Year Ended December 31, 2019					
	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Total
Expected Sales (Units)	1,000	1,000	1,500	2,500	6,000
Sales Price per Unit	\$ <u>70</u>	\$ <u>70</u>	\$ <u>75</u>	\$ <u>75</u>	<u> </u>
Total Sales Revenue	\$70,000	\$70,000	\$112,500	\$187,500	\$440,000

Sales Budget for Big Bad Bikes. (attribution: Copyright Rice University, OpenStax, under CC BY-NC-SA 4.0 license)

Sample Exercise

EA3. Navigator sells GPS trackers for \$50 each. It expects sales of 5,000 units in quarter 1 and a 5% increase each subsequent quarter for the next 8 quarters. Prepare a sales budget by quarter for the first year.

- | BIG BAD BIKES
Sales Budget
For the Year Ended December 31, 2019 | | | | | |
|---|-----------|-----------|-----------|-----------|-----------|
| | Quarter 1 | Quarter 2 | Quarter 3 | Quarter 4 | Total |
| Expected Sales (Units) | 1,000 | 1,000 | 1,500 | 2,500 | 6,000 |
| Sales Price per Unit | \$ 70 | \$ 70 | \$ 75 | \$ 75 | |
| Total Sales Revenue | \$70,000 | \$70,000 | \$112,500 | \$187,500 | \$440,000 |
-
- | BIG BAD BIKES
Production Budget
For the Year Ended December 31, 2019 | | | | |
|--|-----------|-----------|-----------|-----------|
| | Quarter 1 | Quarter 2 | Quarter 3 | Quarter 4 |
| Expected Sales | 1,000 | 1,000 | 1,500 | 2,500 |
| Desired Ending Inventory | | | | |
| Total Required Units | | | | |
| – Beginning Inventory | | | | |
| Required Production | | | | |

Production Budget for Big Bad Bikes. Modified for PPT. (attribution: Copyright Rice University, OpenStax, under CC BY-NC-SA 4.0 license)

Figure 7.9 Direct Materials Budget

- Big Bad Bikes uses 3.2 pounds of material for each trainer it manufactures.
- Each pound of material costs \$1.25.
- Management's goal is to have 20% of the next quarter's material needs on hand as the desired ending materials inventory.
- The number of units to be produced: from production budget.

BIG BAD BIKES Direct Materials Budget For the Year Ended December 31, 2019					
	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Total
Units to be Produced	1,300	1,150	1,800	2,800	7,050
Direct Material per Unit	3.20	3.20	3.20	3.20	3.20
Total Pounds Needed for Production	4,160	3,680	5,760	8,960	22,560
+ Desired Ending Inventory	736	1,152	1,792	2,432	2,432
Total Material Required	4,896	4,832	7,552	11,392	24,992
– Beginning Inventory	0	736	1,152	1,792	0
Pounds of Direct Material Required	4,896	4,096	6,400	9,600	24,992
Cost per Pound	\$ 1.25	\$ 1.25	\$ 1.25	\$ 1.25	\$ 1.25
Total Cost of Direct Material Purchase	\$6,120	\$5,120	\$8,000	\$12,000	\$31,240

Figure 7.10 Direct Labor Budget

- Big Bad Bikes knows that they need 45 minutes or 0.75 hours of direct labor for each unit produced.
- The labor rate for this type of manufacturing is \$20 per hour.
- Units to be produced: from production budget.

BIG BAD BIKES Direct Labor Budget For the Year Ended December 31, 2019					
	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Total
Units to be Produced	1,300	1,150	1,800	2,800	7,050
Direct Labor Hours per Unit	<u>00.75</u>	<u>00.75</u>	<u>00.75</u>	<u>00.75</u>	<u>00.75</u>
Total Required Direct Labor Hours	975	862.50	1,350	2,100	5,287.50
Labor Cost per Hour	\$ <u>20</u>	\$ <u>20</u>	\$ <u>20</u>	\$ <u>20</u>	\$ <u>20</u>
Total Direct Labor Cost	\$19,500	\$17,250	\$27,000	\$42,000	\$ 105,750

Direct Labor Budget for Big Bad Bikes. Modified for PPT. (attribution: Copyright Rice University, OpenStax, under CC BY-NC-SA 4.0 license)

Figure 7.11 Manufacturing Overhead Budget

- The overhead allocation rates for the variable overhead costs are indirect material, \$1.00 per hour; indirect labor, \$1.25 per hour; maintenance, \$0.25 per hour; and utilities, \$0.50 per hour.
- The fixed overhead costs per quarter are supervisor salaries, \$15,000; fixed maintenance salaries, \$4,000; insurance, \$7,000; and depreciation expenses, \$3,000.

BIG BAD BIKES Direct Labor Budget For the Year Ended December 31, 2019			BIG BAD BIKES Manufacturing Overhead Budget For the Year Ended December 31, 2019					
	Quarter 1	Quarter 2		Quarter 1	Quarter 2	Quarter 3	Quarter 4	Total
Units to be Produced	1,300	1,150	Variable Costs					
Direct Labor Hours per Unit	00.75	00.75	Indirect Material	\$ 975	\$ 863	\$ 1,350	\$ 2,100	\$ 5,288
Total Required Direct Labor Hours	975	862.50	Indirect Labor	1,219	1,078	1,688	2,625	6,609
Labor Cost per Hour	\$ 20	\$ 20	Maintenance	244	216	338	525	1,322
Total Direct Labor Cost	\$19,500	\$17,250	Utilities	488	431	675	1,050	2,644
			Total Variable Manufacturing Costs	\$ 2,926	\$ 2,588	\$ 4,051	\$ 6,300	\$ 15,863
			Fixed Costs					
			Supervisory Salaries	\$15,000	\$15,000	\$15,000	\$15,000	\$ 60,000
			Maintenance Salaries	4,000	4,000	4,000	4,000	16,000
			Insurance	7,000	7,000	7,000	7,000	28,000
			Depreciation	3,000	3,000	3,000	3,000	12,000
			Total Fixed Manufacturing Costs	\$29,000	\$29,000	\$29,000	\$29,000	\$116,000
			Total Manufacturing Overhead	\$31,925	\$31,588	\$33,050	\$35,300	\$131,863

975 labor hours × \$1
 975 labor hours × \$1.25
 975 labor hours × \$0.25
 975 labor hours × \$0.50

Figure 7.12 Sales and Administrative Expense Budget

- Big Bad Bikes pays a sales commission of \$2 per unit sold.
- Transportation cost, \$0.50 per unit
- Fixed costs per quarter: sales salaries, \$5,000; administrative salaries, \$5,000; marketing expenses, \$5,000; insurance, \$1,000; and depreciation, \$2,000

BIG BAD BIKES Sales Budget For the Year Ended December 31, 2019						BIG BAD BIKES Sales and Administrative Expense Budget For the Year Ended December 31, 2019					
	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Total		Quarter 1	Quarter 2	Quarter 3	Quarter 4	Total
Expected Sales (Units)	1,000	1,000	1,500	2,500	6,000	Budgeted Sales in Units	1,000	1,000	1,500	2,500	6,000
Sales Price per Unit	\$ 70	\$ 70	\$ 75	\$ 75		Variable Expenses					
Total Sales Revenue	\$70,000	\$70,000	\$112,500	\$187,500	\$440,000	Sales Commissions	\$ 2,000	\$ 2,000	\$ 3,000	\$ 5,000	\$12,000
						Transportation	500	500	750	1,250	3,000
						Total Variable Expenses	\$ 2,500	\$ 2,500	\$ 3,750	\$ 6,250	\$15,000
						Fixed Expenses					
						Sales Salaries	\$ 5,000	\$ 5,000	\$ 5,000	\$ 5,000	\$20,000
						Administrative Salaries	5,000	5,000	5,000	5,000	20,000
						Marketing Expenses	5,000	5,000	5,000	5,000	20,000
						Insurance Expenses	1,000	1,000	1,000	1,000	4,000
						Depreciation Expenses	2,000	2,000	2,000	2,000	8,000
						Total Fixed Expenses	\$18,000	\$18,000	\$18,000	\$18,000	\$72,000
						Total Selling and Administrative expenses	\$20,500	\$20,500	\$21,750	\$24,250	\$87,000

Figure 7.13

Allocating Costs to COGS and Ending WIP Inventory

	Cost of Goods Sold	Ending Inventory	Total
Direct Materials			
Direct Labor			
Manufacturing Overhead			
Total			

Figure 7.14 Budgeted Income Statement

BIG BAD BIKES Budgeted Income Statement For the Year Ended December 31, 2019	
Sales	\$440,000
Cost of Goods Sold	<u>226,200</u>
Gross Profit	213,800
Sales and Administrative Expenses	87,000
Uncollectible Expense	<u>22,000</u>
Income before Interest	104,800
Interest Expense	954
Income Tax	<u>4,000</u>
Net Income	<u><u>\$ 99,846</u></u>

Budgeted Income Statement for Big Bad Bikes. Modified for PPT. (attribution: Copyright Rice University, OpenStax, under CC BY-NC-SA 4.0 license)

Sample Problem

PA4. Prepare a budgeted income statement using the information shown.

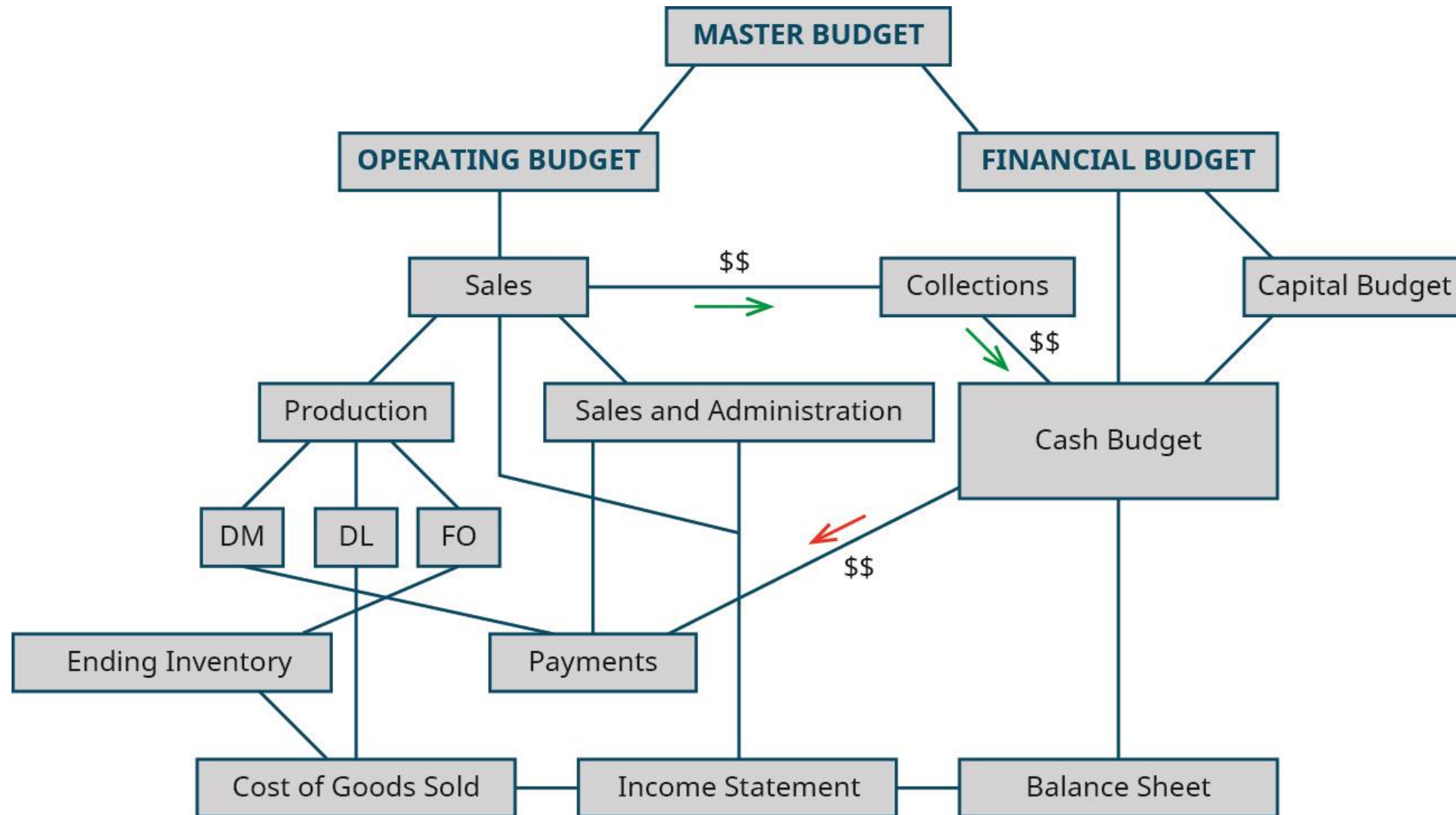
Sales (units)	15,000
Sales price per unit (\$)	40
Uncollectible expense	1%*
Direct material per unit (\$)	2
Direct labor per unit (hours)	0.5
Direct labor rate per hour (\$)	20
Manufacturing overhead (\$)	15,000
Variable S&A expenses per unit (\$)	2
Fixed S&A expenses (\$)	20,000
Taxes	15%**
* of sales	
** of income before taxes	

[illegible]

Module 7.3 Prepare Financial Budgets

- Individual financial budgets
 - Capital asset budget
 - Cash budget
 - Budgeted balance sheet

Figure 7.15 Relationship between Budgets



Relationship between Budgets. (attribution: Copyright Rice University, OpenStax, under CC BY-NC-SA 4.0 license)

Figure 7.16 Cash Collections Schedule

	Percentage of Sales Collected			
	Quarter 1	Quarter 2	Quarter 3	Quarter 4
Prior year, Quarter 4 Sales	30%			
Quarter 1 Sales	65%	30%		
Quarter 2 Sales		65%	30%	
Quarter 3 Sales			65%	30%
Quarter 4 Sales				65%

Illustration of a Cash Collections Schedule. (attribution: Copyright Rice University, OpenStax, under CC BY-NC-SA 4.0 license)

Figure 7.17 Cash Collections Schedule

BIG BAD BIKES Cash Collections Schedule For the Year Ended December 31, 2019						
	Sales	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Total
Collections from prior year Quarter 4	0					
Quarter 1	\$ 70,000					\$ 66,500
Quarter 2	70,000					66,500
Quarter 3	112,500			73,125	\$ 33,750	106,875
Quarter 4	187,500				121,875	121,875
Total Collections	\$440,000	\$45,500	\$66,500	\$94,125	\$155,625	\$361,750
Accounts Receivable	\$ 78,250					

Cash Collections Schedule for Big Bad Bikes. Modified for PPT. (attribution: Copyright Rice University, OpenStax, under CC BY-NC-SA 4.0 license)

Percentage of Sales Collected				
	Quarter 1	Quarter 2	Quarter 3	Quarter 4
Prior year, Quarter 4 Sales	30%			
Quarter 1 Sales	65%	30%		
Quarter 2 Sales		65%	30%	
Quarter 3 Sales			65%	30%
Quarter 4 Sales				65%

Sample Exercise

EA10. Nonna's Re-Appliance Store collects 55% of its accounts receivable in the month of sale and 40% in the month after the sale. Given the following sales, how much cash will be collected in February?

Dec. 2017	Jan. 2018	Feb. 2018
\$20,000	\$60,000	\$70,000

[illegible]

Figure 7.18 Cash Payment Schedule

	Percentage of Cash Payments for Purchases			
	Quarter 1	Quarter 2	Quarter 3	Quarter 4
Prior year, Quarter 4 Purchases	50%			
Quarter 1 Purchases	50%	50%		
Quarter 2 Purchases		50%	50%	
Quarter 3 Purchases			50%	50%
Quarter 4 Purchases				50%

Cash Payment Schedule. (attribution: Copyright Rice University, OpenStax, under CC BY-NC-SA 4.0 license)

Figure 7.19 Cash Payment Schedule

BIG BAD BIKES Cash Payments Schedule For the Year Ended December 31, 2019						
Payments	Purchases	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Total
Quarter 4, prior year	\$ 0	\$ 0				
Quarter 1	6,120	3,060	\$3,060			\$ 6,120
Quarter 2	5,120		2,560	\$2,560		5,120
Quarter 3	8,000			4,000	\$ 4,000	8,000
Quarter 4	12,000				6,000	6,000
Total payments	\$31,240	\$3,060	\$5,620	\$6,560	\$10,000	\$25,240
Accounts Payable	\$ 6,000					

Cash Payments Schedule for Big Bad Bikes. Modified for PPT.
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Percentage of Cash Payments for Purchases				
	Quarter 1	Quarter 2	Quarter 3	Quarter 4
Prior year, Quarter 4 Purchases	50%			
Quarter 1 Purchases	50%	50%		
Quarter 2 Purchases		50%	50%	
Quarter 3 Purchases			50%	50%
Quarter 4 Purchases				50%

Figure 7.21 Cash Budget

- Big Bad Bikes has a minimum cash balance requirement of \$10,000.
- They have a line of credit available for an interest rate of 19%.
- They plan to issue additional capital stock for \$5,000 in the first quarter, to pay taxes of \$1,000 during each quarter, and to purchase a copier for \$8,500 cash in the third quarter.
- The beginning cash balance for Big Bad Bikes is \$13,000.

BIG BAD BIKES Cash Budget For the Year Ended December 31, 2019					
	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Total
Beginning Cash Balance	\$13,000	\$10,000	\$ 10,000	\$ 10,000	\$ 13,000
Collections from Customers (Cash Collections Schedule)	45,500	66,500	94,125	155,625	361,750
Issuing of Stock	5,000				5,000
Total Cash Collected during the Period	<u>\$50,500</u>	<u>\$66,500</u>	<u>\$ 94,125</u>	<u>\$155,625</u>	<u>\$366,750</u>
Total Available Cash	\$63,500	\$76,500	\$104,125	\$165,625	\$379,750
– Disbursements					
Direct Materials (Cash Payments Schedule)	3,060	5,620	6,560	10,000	25,240
Direct Labor (Direct Labor Budget)	19,500	17,250	27,000	42,000	105,750
Manufacturing Overhead Less Depreciation (MFG OH Budget)	28,925	28,588	30,050	32,300	119,863
Selling and Administrative Expenses Less Depreciation (Sales and Administrative Expense Budget)	18,500	18,500	19,750	22,250	79,000
Income Tax Expense	1,000	1,000	1,000	1,000	4,000
Purchase of Copier (Capital Asset Budget)			8,500		8,500
Total Disbursements	<u>\$70,985</u>	<u>\$70,958</u>	<u>\$ 92,860</u>	<u>\$107,550</u>	<u>\$342,353</u>
Excess (deficiency) of Available Cash	(\$ 7,485)	\$ 5,542	\$ 11,265	\$ 58,075	\$ 37,397
Financing					
+ Borrowings	17,485	4,458			21,943
– Repayments Including Interest			(1,265)	(21,632)	(22,897)
Ending Cash Balance	<u>\$10,000</u>	<u>\$10,000</u>	<u>\$ 10,000</u>	<u>\$ 36,443</u>	<u>\$ 36,443</u>

Cash Budget for Big Bad Bikes. (attribution: Copyright Rice University, OpenStax, under CC BY-NC-SA 4.0 license)

Figure 7.22 Budgeted Balance Sheet

BIG BAD BIKES Budgeted Balance Sheet December 31, 2019		
	Jan. 1	Dec. 31
Cash	\$13,000	\$ 36,443
Accounts Receivable	0	78,250
– Allowance for Doubtful Accounts		(22,000)
Inventory	0	42,629
Machinery and Equipment	15,000	23,524
Accumulated Depreciation	<u>(2,000)</u>	<u>(22,000)</u>
Total Assets	<u>\$26,000</u>	<u>\$136,846</u>
Accounts Payable	\$ 0	\$ 6,000
Line of Credit		
Common Stock	15,000	20,000
Retained Earnings	<u>11,000</u>	<u>110,846</u>
Total Liability and Owner's Equity	<u>\$26,000</u>	<u>\$136,846</u>

Budgeted Balance Sheet for Big Bad Bikes. (attribution: Copyright Rice University, OpenStax, under CC BY-NC-SA 4.0 license)

Module 7.4 Prepare Flexible Budgets

- **Flexible budgets:** Different sales levels are applied to budgeted figures.
- **Static budgets:** Budgeted sales are applied to budgeted figures.

Static Quarterly Budget (Fig 7.24)

BIG BAD BIKES Static Quarterly Budget For Each Quarter	
Units Sold	1,500
Sales Price	\$ 70
Sales	\$ 105,000
Cost of Goods Sold	
Direct Material	6,000
Direct Labor	22,500
Variable Manufacturing Overhead	4,500
Fixed Manufacturing Overhead	29,000
Total Cost of Goods Sold	62,000
Gross Profit	43,000
Variable Sales and Admin	3,750
Fixed Sales and Admin	18,000
Interest Expense	0
Income Taxes	1,000
Total Other Expenses	\$ 22,750
Net Income (Loss)	\$ 20,250

Flexible Quarterly Budget (Fig. 7.25)

BIG BAD BIKES Flexible Budget For Year Ended December 31, 2019				
Units Sold		1,000	1,500	1,500
Sales Price		\$ 70	\$ 70	\$ 75
Sales		\$70,000	\$105,000	\$112,500
	Per-unit cost			
Cost of Goods Sold				
Direct Material	\$ 4	\$ 4,000	\$ 6,000	\$ 6,000
Direct Labor	15	15,000	22,500	22,500
Variable Manufacturing Overhead	3	3,000	4,500	4,500
Fixed Manufacturing Overhead		29,000	29,000	29,000
Total Cost of Goods Sold		51,000	62,000	62,000
Gross Profit		19,000	43,000	50,500
Variable Sales and Admin	2.50	2,500	3,750	3,750
Fixed Sales and Admin		18,000	18,000	18,000
Income Taxes		1,000	1,000	1,000
Total Other Expenses		21,500	22,750	22,750
Net Income (Loss)		\$ (2,500)	\$ 20,250	\$ 27,750

These two columns are the same.

Static Budget for Big Bad Bikes. Modified for PPT.
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Varying Production Levels for Big Bad Bikes. Modified for PPT.
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Module 7.5 Explain How Budgets Are Used to Evaluate Goals

- An advantage of budgeting is evaluating performance.
- A strong understanding of budgets helps managers keep track of revenues and expenses, and work toward the company's goals.
 - Did the company earn the expected profit? Could it have earned a higher profit? What expenses or revenues were not included in the budget?
- Critically evaluating the actual results versus the estimated budgetary results can help management plan for the future.
- **Variance analysis** helps managers analyze results. This analysis does not necessarily find a problem, but it does indicate where a problem may exist.
- A **favorable variance** occurs when revenue is higher than budgeted or expenses are lower than budgeted. An **unfavorable variance** is when revenue is lower than budgeted or expenses are higher than budgeted.

Figures 7.26 and Figure 7.27

BIG BAD BIKES Income Statement For the Quarter Ended September 30, 2019	
Units Sold	1,400
Sales Price	\$ 75
Sales	\$98,000
Cost of Goods Sold	
Direct Material	5,550
Direct Labor per Unit	21,500
Variable Manufacturing Overhead	4,100
Fixed Manufacturing Overhead	28,900
Total Cost of Goods Sold	60,050
Gross Profit	37,950
Variable Sales and Administration	3,550
Fixed Sales and Administration	17,500
Interest Expense	0
Income Taxes	985
Total Other Expenses	22,035
Net Income (Loss)	\$22,915

BIG BAD BIKES Actual Versus Static Budget Variance Quarter Ended September 30, 2019				
	Actual	Budget	Variance	
Units Sold	1,400	1,500	(100)	Unfavorable
Sales Price	\$ 75	\$ 75	\$ 75	
Sales	\$105,000	\$112,500	(\$7,500)	Unfavorable
Cost of Goods Sold				
Direct Material	5,550	6,000	450	Favorable
Direct Labor	21,500	22,500	1,000	Favorable
Variable Manufacturing Overhead	4,100	4,500	400	Favorable
Fixed Manufacturing Overhead	28,900	29,000	100	Favorable
Total Cost of Goods Sold	60,050	62,000	1,950	Favorable
Gross Profit	44,950	50,500	(5,550)	Unfavorable
Variable Sales and Administration	3,550	3,750	200	Favorable
Fixed Sales and Administration	17,500	18,000	500	Favorable
Income Taxes	985	1,000	15	Favorable
Total Other Expenses	22,035	22,750	715	Favorable
Net Income (Loss)	\$ 22,915	\$ 27,750	\$(4,835)	Unfavorable

Actual Quarter 3 Income Statement for Big Bad Bikes. Modified for PPT. (attribution: Copyright Rice University, OpenStax, under CC BY-NC-SA 4.0 license)

Actual versus Static Budget for Big Bad Bikes. Modified for PPT. (attribution: Copyright Rice University, OpenStax, under CC BY-NC-SA 4.0 license)

Summary

- A good budgeting system assists management in reaching their goals through the planning and control of cash inflows through revenue and financing and outflows through payment and expenses.
- A static budget is prepared at one level of activity, while a flexible budget allows the variable expenses to be adjusted for various levels of activity.
- A master budget includes the subcategories of operating budgets and financial budgets.

Summary

- All operating budgets combine to develop the budgeted income statement.
- Information from the other budgets and the budgeted income statement are used to develop the budgeted balance sheet.
- Management's evaluations of the actual results versus the estimated budgetary results help plan for the future.
- Favorable variances occur when sales are higher or expenses are lower than budgeted. Unfavorable variances occur when sales are lower or expenses are higher than budgeted.

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